

How low will the TSE Gold Mines Index fall? Support, as with so many markets discussed in this book, is the span of the preceding fourth wave of one lesser degree, which in this case is wave (IV). Wave (IV) covered a range from 205 to 735. This target range portends a decline of at least 90% and possibly as much as 98% for the TSE Gold Mines Index. Favored for a target is the low for wave E of the triangle, which occurred at 344.60, although whenever the index gets below 735, it should be scrutinized closely for signs of a bottom.

This analysis answers the question, "Can we find refuge from the coming deflation by investing in gold stocks?" The answer is no. These equities should experience the same kind of intense deflation that occurred from 1980 to 1982. Look what the TSE gold stocks did in those two short years: They fell 81%. Is a drop of over 90% over a longer period of time so unrealistic?

The Valuation of Gold Stocks Relative to Gold

Take a look at Figure 17-15, which depicts the value of Canadian (and by extension, North American) gold stocks relative to gold bullion. First, notice that gold stocks recently registered their highest relative valuation of the entire century, in January 1994. As previously shown in Figures 17-6 and 17-7, gold itself is expensive relative to commodities and silver, so if gold stocks are at a record valuation relative to gold, *then how expensive are gold stocks?* The answer is: *very*.

Now observe that the high and low relative valuations of the TSE Gold Mines Index have always occurred within a few months of major tops and bottoms in the *stock market*. Gold stock valuation peaked in January 1937; the DJIA peaked in March 1937. Gold stock valuation peaked in January 1946; the DJIA peaked in May 1946. Gold stock valuation peaked in March 1968; the DJIA+Value Line peaked in December 1968. Important stock market lows have corresponded with lows in gold stock valuation as well. The DJIA bottomed in April 1942; gold stock valuation bottomed in October 1942. Gold stock valuation bottomed in June 1982; the DJIA bottomed in August 1982 (in inflation-adjusted terms). This confluence of trends indicates that gold stocks are *not* purchased solely in a reflection of the relative attractiveness of gold. They are traditionally added to portfolios during common stock bull markets, to the point that they become highly overvalued relative to the price of bullion.